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Morning Note
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Tone: Mixed / Rotation

The election trade has become a rotation trade: the Dow ran 3.03% Wednesday on a Democratic Congress, and overnight the bill landed on AI hardware. Wednesday's close was lopsided: Dow +1,569 points to 53,356.12, its best day since April 2025, against a Nasdaq 100 up only 0.91% and XLK flat at -0.01%. Oil did the macro work, with Brent settling -8.7% at $94.62 as traders priced a faster end to the Iran war after Senate Minority Leader Schumer pledged to end it and VP Vance blamed the war for Republican losses. Asia then sold the AI chain hard: Kospi -5.28%, Taiex -3.20%, Tokyo Electron -9.5% and Advantest -15%, on fears of limits on AI data centers. Qualcomm is about 7% lower after hours on a soft guide, so Nasdaq 100 futures are -0.87% while Dow futures are +0.56% as of 4:29 AM ET. The tension is the Fed: December hike odds have climbed to about 82% even as 10Y breakevens fell 4bp to 2.26%. The Bank of England at 7:00 AM ET, expected to hike 25bp to 4.00%, is the first test of a global tightening bias, followed by claims and productivity at 8:30 AM ET and payrolls Friday.

OVERNIGHT MACRO

- **Asia:** AI hardware sold off. Kospi -5.28% to 5,383.80, with Samsung Electronics -6.65% and SK hynix -8.52%. Nikkei -1.8% to 61,077.90 after trading higher early; Tokyo Electron -9.5%, Advantest -15%, SoftBank Group -6.9%. Taiex -3.20% to 41,574.72. China tech went the other way: Hang Seng about +3.2% to 24,675.22 with Alibaba and Tencent up more than 7%. Shanghai Composite flat. ASX 200 +2.6% to 9,065.10.
- **Europe:** Stoxx 600 +0.7% to 661.99 at 4:05 AM ET, near a record. Earlier, DAX +0.52% to 26,573.85, CAC 40 +1.25% to 8,280.24, FTSE 100 +0.89% to 10,925.43. Rheinmetall -16.5% after cutting its 2026 sales forecast for the second time in three months; Air France-KLM +11% on a Q3 operating profit beat; ASML -2.4%. Basic resources +2.7%.
- **FX:** Dollar index 101.26 vs a 101.47 close, near one month lows. EUR/USD 1.1262, USD/JPY 157.92 from 158.41. BoE decision at 7:00 AM ET with a 25bp hike to 4.00% widely expected, its first hike since August 2023.
- **Commodities:** Brent -0.85% to $93.82 and WTI -1.36% to $86.92, a fourth straight decline, after Wednesday's 8.7% and 8.3% drops. CTAs cutting Brent length amplified the move and Hormuz flows are back near prewar levels. Spot gold +1.9% to $4,134.83, silver +1.7% to $53.12. Copper about -0.8% near $6.35/lb.
- **U.S. Futures:** Dow futures +0.56%, S&P futures -0.07%, Nasdaq 100 futures -0.87% as of 4:29 AM ET. AppLovin +21% after hours on a revenue beat; Qualcomm about -7%, Snap -11.5%, MercadoLibre about -10%. Wednesday close: S&P 500 +1.58% to 7,688.62, Nasdaq 100 +0.91% to 28,437.17, Russell 2000 +1.58% to 2,856.95.

RATES & CREDIT SNAPSHOT

Instrument	Level	Move	Note
2Y Treasury	4.61%	+2bp	Tuesday close (FRED). About 4.58% Wednesday, 3bp lower.
10Y Treasury	4.95%	+4bp	Tuesday close (FRED). Near 4.89% early Thursday, about 6bp lower.
30Y Treasury	5.32%	+4bp	Tuesday close (FRED). Down 31bp over the past month.
10Y Breakeven	2.26%	-4bp	Wednesday print, tracking the oil drop. Down 12bp in a week.
2s10s	32bp	-2bp	Wednesday print. Flattening, down 15bp over the month.

The long end extended its rally Wednesday, with the 10Y trading near 4.89%, about 6bp below Tuesday's 4.95% close, as oil fell 8.7% and the fiscal brake from a divided government stayed priced. The front end is doing less: the 2Y is about 3bp lower near 4.58% because the market keeps adding to a December hike, now about 82%. That is a bull flattener with a hawkish Fed

underneath it, and 2s10s is down to 32bp. Treasury's refunding held coupon sizes unchanged at $125 billion ($58bn 3Y, $42bn 10Y, $25bn 30Y) but dropped its "at least" language, opening the door to size changes, with 20Y and 30Y seen as the likeliest cuts. MOVE fell 6.09 to 93.88 and VIX fell 4.22 to 16.61.

Meeting	Current Range	Market-Implied	Note
FOMC, Dec 8 to 9	3.75 to 4.00%	About 82% hike	CME FedWatch late Nov 4, up from about 78% Wednesday morning. Hammack (8:50 AM ET) and Barkin (9:10 AM ET) speak today.

Credit: IG OAS at 93bp, -1bp, and HY OAS at 340bp, -3bp (Tuesday close, FRED). Spreads remain 8bp and 30bp wider than a month ago on AI funding supply; Wednesday's equity rally and VIX at 16.61 should support a further grind tighter, but the chip selloff keeps Big Tech issuance in focus.

COMMODITIES & SECTOR TABLES

Commodity	Level	Chg	Note
Brent Crude	$94.54/bbl	-8.75%	Wednesday close; $93.82 this morning, -0.85%
WTI Crude	$88.04/bbl	-8.38%	Biggest drop since May; $86.92 this morning
Gold	$4,093.50/oz	+3.89%	Dec futures close; spot $4,134.83 overnight, +1.9%
Copper	$6.42/lb	+0.6%	About -0.8% near $6.35 this morning
Nat Gas	$2.94/MMBtu	+1.7%	Up 4.5% over the past week

Wednesday was a broad rotation away from AI infrastructure and energy into everything else. Consumer Discretionary led at +4.26%, followed by Financials +3.51%, Communication +3.47% and Staples +3.36%, while Energy fell 4.74% with crude and Industrials slipped 1.09%. Tech was flat at -0.01% as Apple (+5.31%, a record intraday high) and Amazon (+6.12%) offset Nvidia (-3.17%) and CoreWeave (-9.90%). Overnight the AI hardware selloff extends through Qualcomm's guide and Asia's chip complex.

Sector / Name	Chg	Read
Cons. Discretionary (XLY)	+4.26%	Led Wednesday; Amazon +6.12%
Financials (XLF)	+3.51%	Rotation beneficiary
Energy (XLE)	-4.74%	Worst sector as Brent fell 8.7%
Technology (XLK)	-0.01%	Apple +5.31% vs Nvidia -3.17%
Qualcomm (after hours)	About -7%	Revenue $10.44bn beat; guide midpoint below consensus
AppLovin (after hours)	+21%	Revenue $2.18bn vs $2.08bn; Q4 guide above Street
Snap (after hours)	-11.5%	DAU 495m vs about 499m expected
CVS	-12.53%	Plan to split into two companies

EQUITY SETUP

The open looks like a continuation of Wednesday's split rather than a reversal: Dow futures +0.56% against Nasdaq 100 futures -0.87%. The Kospi's 5.28% drop and double digit losses in Advantest and Tokyo Electron say the AI hardware chain is being repriced for a Congress that may restrict data center buildout, and Qualcomm's guide and Arm's royalty miss ($670m vs $712m expected) give that a U.S. earnings hook. AppLovin's 21% jump shows the market is still paying for AI revenue that is already showing up in software.

The macro backdrop is supportive for the rotation: Brent below $94, the 10Y near 4.89% and VIX at 16.61. The risk is the Fed. Hike odds near 82% leave little room for a hot labor print, and claims (consensus 197,000) and unit labor costs (1.5%) at 8:30 AM ET come a day before payrolls, seen at 56,000. Airbnb, Cloudflare and Lumentum after the close test whether the AI selloff spreads into networking again.

ONE THEME

The peace dividend is being paid in the wrong currency for the Fed. The midterm result has repriced two things at once. Oil is pricing a faster end to the Iran war, with Brent down from $103.60 Tuesday to $93.82 this morning, and that has pulled 10Y breakevens down 4bp to 2.26% in a day. Equities have read it as a peace dividend for the consumer: XLY +4.26%, McDonald's +6.53%, Amazon +6.12%. But the Fed is not following. December hike odds rose to about 82% from 78% over the same day, with ADP at +86,000 and the ISM services prices index still at 73.0 keeping the hawks focused on services inflation rather than crude. The result is a market where cyclicals and the long end are rallying on lower energy while the front end holds near 4.58%. If oil stays below $95 into CPI on Nov 10, the hike case weakens on its own; if payrolls run hot Friday, the Fed hikes into falling oil and the rotation into consumer names loses its macro support.

EVENTS TO WATCH

- **7:00 AM ET Bank of England decision:** 25bp hike to 4.00% widely expected; Reuters poll sees a 7 to 2 vote. Norges Bank expected to hold at 4.50%.
- **8:30 AM ET Initial Jobless Claims:** Consensus 197,000 vs 194,000 prior.
- **8:30 AM ET Q3 Productivity and Unit Labor Costs:** Productivity seen at 3.1% vs 1.4% prior; ULC 1.5% vs 1.2%.
- **8:50 AM ET and 9:10 AM ET Fed speakers:** Hammack, who dissented for a hike in October, then Barkin. Logan at 7:00 PM ET.
- **10:30 AM ET EIA Natural Gas Storage:** Consensus 81 Bcf vs 80 Bcf prior.
- **Before the open:** ConocoPhillips (EPS est. $2.99), Parker-Hannifin ($8.43), Cigna ($7.73), Cummins ($8.28), Duke Energy ($1.88), Southern ($1.76), Becton Dickinson ($4.11).
- **After the close:** Airbnb ($2.91), Cloudflare ($0.35), Lumentum ($4.27), EOG ($4.50), Atlassian ($1.45), Microchip ($0.95), Affirm ($0.39), Monster Beverage ($0.31).
- **Rest of week:** October payrolls Friday at 8:30 AM ET, consensus 56,000 with unemployment at 4.2%. Williams and Musalem speak Friday. UMich sentiment Friday at 10:00 AM ET. CPI Nov 10.
- **Key risks:** A hot claims or payrolls print pushes December hike odds further above 80%. AI regulation headlines extending the chip selloff into U.S. trading. Confirmation of the tanker fires in Hormuz reported by the IRGC would reverse the oil drop fast.